Edgar Lawrence Smith, however, did receive Bosland's full and respectful attention. Smith's *Common Stocks as Long Term Investments*, published in 1924, had challenged the long-held view that bonds were innately superior to equities. For one thing, Smith argued, the dollar (even the gold-convertible 1924 edition) was inflation-prone, which meant that creditors were inherently disadvantaged. Not so the owners of common stock. If the companies in which they invested earned a profit, and if a portion of that profit were retained in the business (thereby contributing to future earnings), the principal value of an investor's portfolio would tend "to increase in accordance with the operation of compound interest."[28]

Smith's timing was impeccable. Not a year after he published, the great Coolidge bull market erupted. *Common Stocks as Long Term Investments*, only 129 pages long, provided a handy rationale for chasing the market higher. That stocks do, in fact, tend to excel in the long run has entered the canon of American investment thought as a revealed truth (though it looked anything but obvious in the 1930s). For his part, Graham entered a strong dissent to Smith's thesis, or more exactly, its uncritical bullish application. It was one thing to pay 10 times earnings for an equity investment, he notes, quite another to pay 20 to 40 times earnings. Besides, the Smith analysis skirted the important question of what asset values lay behind the stock certificates that people so feverishly and uncritically traded back and forth. Finally, embedded in Smith's argument was the assumption that common stocks could be counted on to deliver in the future what they had done in the past. Graham was not a believer. (Chap. 27)

If Graham was a hard critic, however, he was also a generous one. In 1939 he was given John Burr Williams's *The Theory of Investment Value* to review for the *Journal of Political Economy* (no small honor for a Wall

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[28] Grant, *The Trouble with Prosperity*, p. 43.